

Please note this is an AI Generated note on a meeting on
[[Daily/23-06-2026.md]] please consider accordingly.

Context: Following the landmark Indian Supreme Court ruling in the *Tiger Global* case, legal and tax professionals are heavily scrutinizing the parameters of tax residency, the validity of Special Purpose Vehicles (SPVs), and the boundaries of anti-avoidance frameworks. This brief synthesizes the prevailing legal doctrines in India and Singapore regarding these issues, supplementing the panel discussion with statutory context and relevant case law.

The Sanctity of the Tax Residency Certificate (TRC): Singapore vs. India

A critical fallout from the *Tiger Global* dispute is the diminished evidentiary value of a TRC in India. While Indian tax authorities and courts have begun looking past the TRC to ascertain the “hidden brain” or true economic substance of an entity, Singapore maintains a more structured, front-loaded approach to establishing tax residency.

Under Section 2 of the Singapore Income Tax Act (ITA), corporate residency is fundamentally determined by where the “control and management” of the business is exercised—typically where the board of directors meets to make strategic decisions. However, the Inland Revenue Authority of Singapore (IRAS) enforces criteria that extend well beyond this traditional Article 4 treaty definition, particularly for foreign-owned investment holding companies. To issue a TRC, IRAS strictly requires taxpayers to demonstrate robust commercial rationale for establishing the Singaporean entity. Furthermore, the entity must exhibit tangible substance, such as employing local C-suite executives or actively engaging related domestic companies for management services. Consequently, a Singaporean TRC carries substantial intrinsic weight because the regulatory threshold to obtain it already necessitates proving deep commercial substance, theoretically insulating it from the type of “letterbox” allegations seen in *Tiger Global*.

SPVs, Commercial Reality, and Piercing the Corporate Veil

The aggressive stance taken by Indian tax authorities often relies on the presumption that offshore SPVs are inherently designed for tax avoidance. However, contemporary corporate jurisprudence challenges this notion. Establishing an SPV is a standard, globally recognized mechanism for ring-fencing liabilities, ensuring legal protection, and isolating cross-border risks.

Indian jurisprudence does permit piercing the corporate veil, but historically, this doctrine is reserved for extreme instances of sham structures or overt

abuse. It is commercially unreasonable to expect a standalone SPV to operate like a fully integrated, full-fledged corporation with its own independent accounting, legal, and secretarial teams. Leveraging intra-group synergies is a standard business reality. Therefore, the legitimacy of an SPV should not be evaluated based on shared administrative resources or high-level global financial controls (such as a parent company executive having signing authority over large bank transfers), but rather on the foundational board resolutions and the documented commercial intent at the time of the entity's incorporation and investment.

The Battle of Anti-Avoidance Frameworks: Statutory GAAR vs. JAAR

A significant point of divergence between jurisdictions lies in the application of anti-avoidance rules—specifically the tension between codified General Anti-Avoidance Rules (GAAR) and Judicial Anti-Avoidance Rules (JAAR).

In India, following the formal introduction of a statutory GAAR (under Chapter X-A of the Income Tax Act, 1961, effective April 2017), the consensus among practitioners is that the era of ad-hoc JAAR should be over. During routine tax assessments, revenue officers are expected to test alleged avoidance against the codified thresholds of GAAR or the Principal Purpose Test (PPT), rather than arbitrarily disregarding structures based on abstract judicial doctrines of “substance over form.”

Singapore's approach to anti-avoidance is strictly statutory, rooted in constitutional principles. Article 143 of the Constitution of the Republic of Singapore mandates that no tax shall be levied except by written law. Consequently, a purely judicial anti-avoidance doctrine is viewed as unconstitutional and arbitrary. Instead, Singapore relies on Section 33 of the ITA, which grants the Comptroller broad powers to disregard or reconstruct arrangements that artificially yield tax advantages.

The interpretation of Section 33 was definitively settled by the Singapore Court of Appeal in the landmark case of *Comptroller of Income Tax v. AQQ* [2014] SGCA 15 (often referenced in New Zealand's *Ben Nevis* jurisprudence). Under the AQQ framework, the analysis is twofold: first, identifying if the arrangement lacks *bona fide* commercial reasons; and second, applying a “scheme and purpose” test. This means the court assesses whether the taxpayer utilized specific provisions of the Income Tax Act in a manner that fundamentally contradicts the legislature's intended scheme and purpose.

India's Sovereign Shift to Source-Based Taxation

When analyzing cross-border tax disputes in India, it is imperative to contextualize them within the nation's broader macroeconomic and fiscal policy

evolution. Decades ago, India's tax policy was highly accommodating, utilizing liberal treaties to attract Foreign Direct Investment (FDI). Today, the geopolitical and economic reality has shifted. India is aggressively asserting its tax sovereignty, firmly positioning itself as a market jurisdiction focused on source-based taxation.

This policy pivot is evident in the push for gross-basis taxation, the introduction of the Equalisation Levy, and broadened Significant Economic Presence (SEP) rules. Judicial observations in cases like *Tiger Global*—where judges advocate for stringent Limitation on Benefits (LOB) clauses and explicit GAAR overrides to prevent treaty shopping—are direct reflections of this protectionist shift. Consequently, taxpayers can no longer rely purely on historical treaty benevolence; tax positions must be robustly defended with actual economic value creation within the jurisdiction.

Strategic Blueprint for Cross-Border Structuring

In light of this evolving, hostile regulatory landscape, the operational execution of corporate structures has become just as critical as the initial legal design.

Taxpayers must carefully select jurisdictions that function as genuine commercial and financial hubs (such as Singapore), where local substance can be organically integrated into the business model, rather than relying on pure offshore tax havens. Furthermore, there must be a seamless alignment between documented intent and day-to-day operations. If a foreign parent company requires oversight over its offshore subsidiary, this relationship should not manifest as *de facto* "shadow directorship" or informal control. Instead, it must be formally legally structured—for instance, by appointing the parent entity under a formal Investment Advisory Agreement. This ensures that the local board retains demonstrable, independent decision-making authority, thereby safeguarding the entity's tax residency and neutralizing allegations of the "hidden brain" residing offshore.

Reference

- ^[1]

¹**Justicer.mahadevanAuthorityAdvanceRulings2026?**